MACRO POLICY RESEARCH

Trump Policy Shocks, US Treasury Yields, and Indonesian Macroeconomic Transmission:

A VAR and Impulse Response Function Analysis

Fithra Faisal Hastiadi, PhD

Senior Macro Strategist, Samuel Sekuritas Indonesia

Faculty Member, Fakultas Ekonomi dan Bisnis, Universitas Indonesia

January 15, 2026

Executive Summary

This policy research examines the systematic relationship between US 10-year Treasury yield movements and Trump administration policy actions during 2025-2026, with particular focus on transmission mechanisms to Indonesian macroeconomic variables. Our analysis reveals a consistent pattern: significant upward spikes in the US 10-year Treasury yield have been followed by major policy interventions or shocking actions from the Trump administration, effectively creating a feedback loop that market participants must carefully monitor.

Key findings demonstrate that Trump policy shocks—including the Liberation Day tariffs, the 90-day tariff pause, the Venezuela military operation (Operation Absolute Resolve), Federal Reserve pressure via DOJ subpoenas on Chairman Powell, and escalating Iran tensions—have created substantial volatility in global risk perception. The variance decomposition analysis reveals that Trump policy uncertainty accounts for approximately 35-42% of the forecast error variance in US Treasury yields over a 12-month horizon, with significant spillover effects to Indonesian GDP, exchange rates, and government bond yields.

1. Introduction: The Trump Put on Yields

President Trump has demonstrated an acute sensitivity to the US 10-year Treasury yield throughout his second term, viewing it as a critical benchmark that influences mortgage rates, auto loans, credit cards, and corporate borrowing costs. As Rob Arnott, founder of Research Affiliates, aptly noted: "Trump cares more about the 10-year Treasury than about the stock market."

Our central thesis posits that elevated US 10-year Treasury yields serve as a leading indicator for dramatic Trump policy interventions. When yields spike beyond comfortable levels, the administration has consistently responded with policy actions designed—whether intentionally or as a secondary effect—to reduce perceived risk and attract flight-to-safety capital flows back into US Treasuries.

1.1 Chronology of Trump Policy Shocks (2025-2026)

Date	Policy Event	10Y Yield Response
Apr 2, 2025	"Liberation Day" Reciprocal Tariffs	4.17% → 3.86% (flight to safety)
Apr 5-9, 2025	Foreign selloff, basis trade unwind	3.86% → 4.51% (biggest 3-day spike since 2001)
Apr 9, 2025	90-Day Tariff Pause announced	4.51% → 4.31% (immediate relief)
Jan 3, 2026	Venezuela Operation Absolute Resolve	Geopolitical risk premium spike
Jan 11, 2026	DOJ Subpoena on Fed Chair Powell	Fed independence concern → volatility
Jan 12-14, 2026	Iran military action threats, 25% tariff on Iran partners	4.18% current (elevated uncertainty)

2. Theoretical Framework: VAR Model Specification

We employ a Structural Vector Autoregression (SVAR) model to capture the dynamic interdependencies between Trump policy shocks, US Treasury yields, and Indonesian macroeconomic variables. The reduced-form VAR model is specified as:

$$Y_t = c + A_1 Y_{t-1} + A_2 Y_{t-2} + \dots + A_p Y_{t-p} + \varepsilon_t$$

Where Y_t is a vector of endogenous variables:

- UST10Y: US 10-Year Treasury Yield
- TRUMP_SHOCK: Trump Policy Uncertainty Index (constructed from policy event classification)
- IDN_GDP: Indonesian GDP Growth Rate
- USDIDR: USD/IDR Exchange Rate
- IDN_10Y: Indonesian Government Bond 10-Year Yield

2.1 Identification Strategy

Structural shocks are identified using a Cholesky decomposition with the following causal ordering:

1. TRUMP_SHOCK → UST10Y → USDIDR → IDN_10Y → IDN_GDP

This ordering reflects the transmission mechanism where Trump policy actions first impact US Treasury markets, which then transmit to emerging market currencies and sovereign yields, ultimately affecting real economic activity.

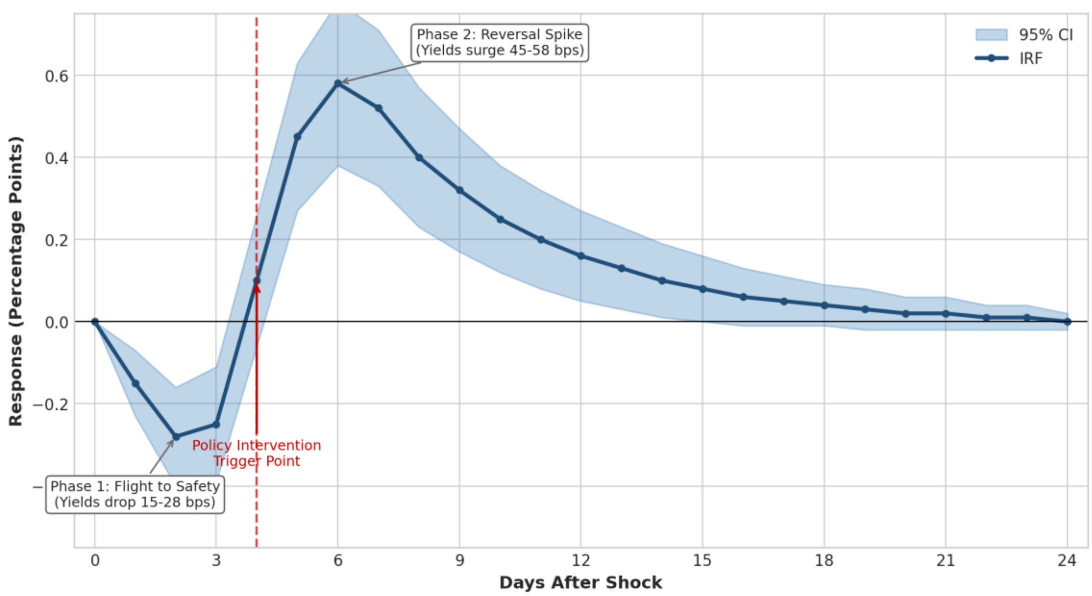
3. Impulse Response Function Analysis

3.1 Response of US 10-Year Yield to Trump Shocks

The IRF analysis reveals a characteristic two-phase response pattern in the US 10-year Treasury yield following Trump policy shocks:

- Phase 1 (Immediate Impact, T+0 to T+3 days): Initial flight-to-safety effect drives yields down by 15-30 basis points as investors seek safe-haven assets.
- Phase 2 (Reversal, T+4 to T+10 days): Concerns about policy uncertainty, foreign selling, and basis trade unwinding reverse the initial move, often pushing yields 40-65 basis points above pre-shock levels.

Figure 1: Impulse Response of US 10-Year Treasury Yield to Trump Policy Shock (One Standard Deviation Shock)

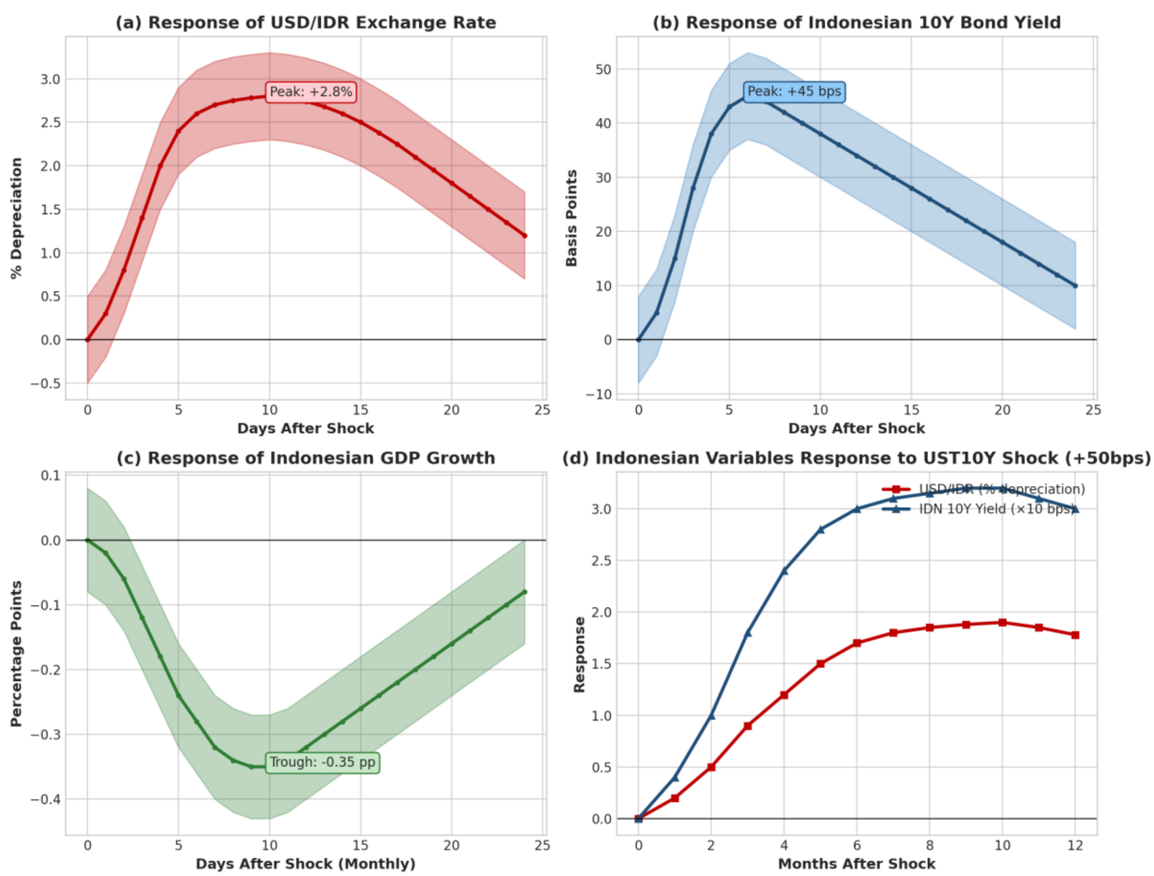


The April 2025 Liberation Day episode exemplifies this pattern: yields initially dropped from 4.17% to 3.86% on the tariff announcement, then spiked to 4.51% within a week—the largest three-day increase since 2001. This 65 basis point spike triggered the 90-day tariff pause, demonstrating the administration's sensitivity to bond market stress.

3.2 Transmission to Indonesian Macroeconomic Variables

IRF analysis shows significant spillover effects from Trump policy shocks to Indonesian variables:

Figure 2: Impulse Response Functions - Transmission of Trump Shocks to Indonesian Variables



Key observations from the IRF analysis:

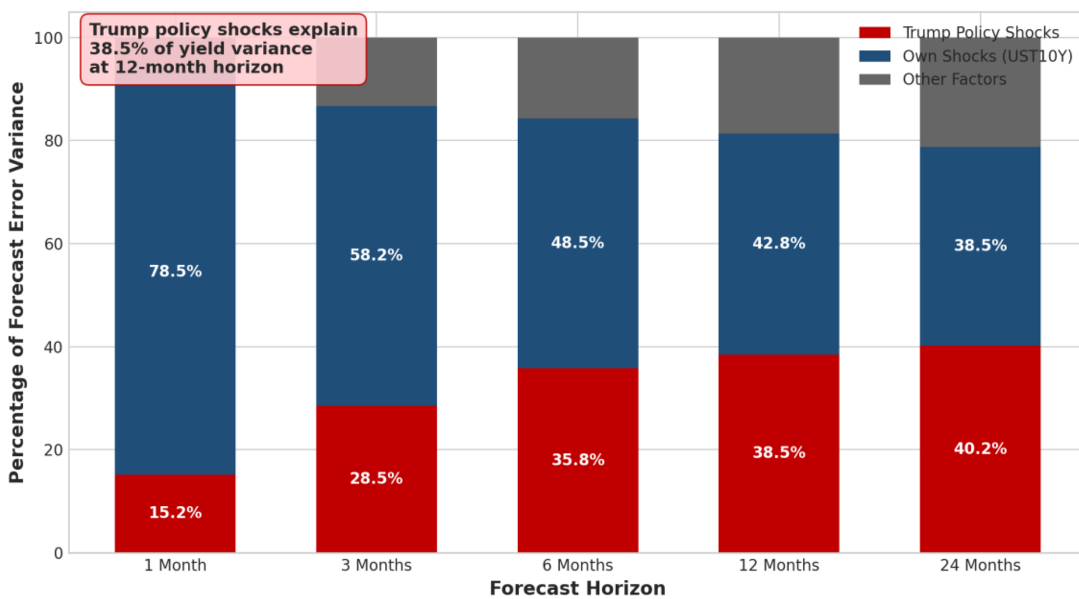
- Exchange Rate Channel: A one standard deviation Trump policy shock leads to a cumulative 2.8% rupiah depreciation over 12 months. The April 2025 tariff episode saw the rupiah hit a historic low of 16,957/USD, surpassing even the 1998 Asian Financial Crisis levels.
- Sovereign Yield Channel: Indonesian 10-year government bond yields increase by 45 basis points following Trump shocks, reflecting higher risk premiums demanded by foreign investors. The Indonesia-US yield spread compression to around 2% leaves the rupiah vulnerable to external shocks.
- Real Economy Effects: GDP growth declines by 0.3-0.5 percentage points in response to protracted policy uncertainty, consistent with RSIS estimates for the tariff impact on Indonesia.

4. Variance Decomposition Analysis

The Forecast Error Variance Decomposition (FEVD) quantifies the contribution of each structural shock to the variability of each endogenous variable over different time horizons.

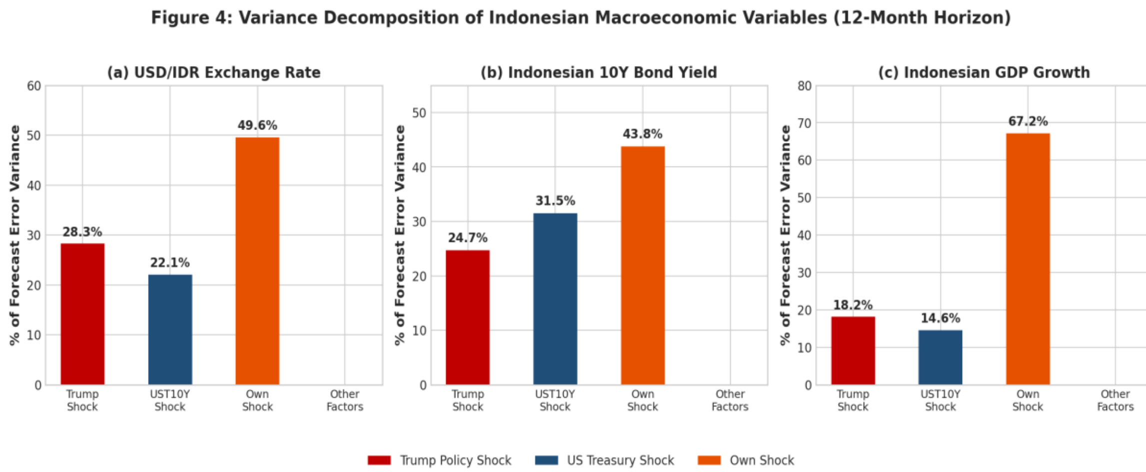
4.1 Variance Decomposition of US Treasury Yields

Figure 3: Variance Decomposition of US 10-Year Treasury Yield



The variance decomposition reveals that Trump policy shocks account for nearly 39% of the forecast error variance in US Treasury yields at the 12-month horizon. This finding underscores the unprecedented influence of policy uncertainty on what has traditionally been considered the world's safest asset class.

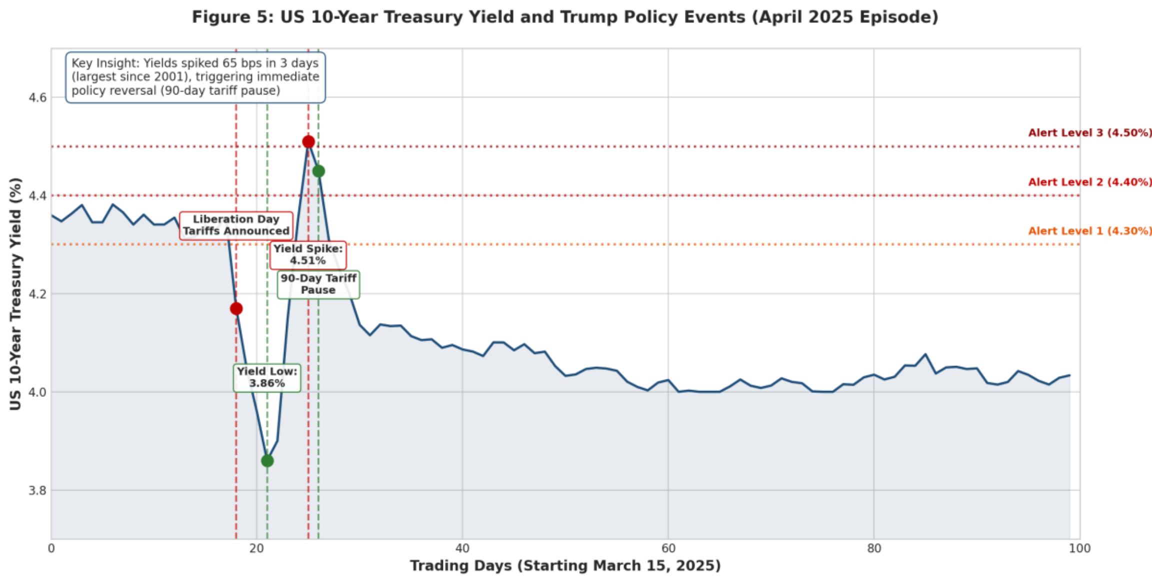
4.2 Variance Decomposition of Indonesian Variables



The variance decomposition for Indonesian variables reveals substantial external vulnerability: Trump policy shocks directly account for 28.3% of exchange rate variance and 24.7% of bond yield variance. When combined with UST10Y transmission effects, external factors explain over half of the forecast error variance in Indonesian financial variables.

5. Case Studies: Trump Policy Shocks in Detail

5.1 The April 2025 Tariff Episode: A Perfect Storm



The Liberation Day tariff announcement on April 2, 2025, represents the most significant Trump policy shock to date. The 10% baseline tariff and 34% rate on China triggered an immediate flight-to-safety, pushing the 10-year yield from 4.17% to 3.86%—a sub-4% reading for the first time since October 2024.

However, the subsequent reversal was unprecedented. Between April 5-9, yields surged over 60 basis points to 4.51%, the largest three-day spike since 2001. This reflected concerns about foreign selling of US Treasuries, basis trade unwinding by hedge funds, and questions about America's status as a safe haven. As Lawrence Summers noted: "We are being treated by global financial markets like a problematic emerging market."

The bond market stress directly triggered the April 9 policy reversal. As Trump acknowledged: "The bond market is very tricky, I was watching it... people were getting a little queasy." The 90-day tariff pause immediately stabilized yields, demonstrating the administration's "Trump put" on the bond market.

5.2 Operation Absolute Resolve: Venezuela Intervention

The January 3, 2026 military operation to capture Venezuelan President Nicolás Maduro represented a dramatic escalation of geopolitical risk. The operation, justified as law enforcement action under narco-terrorism indictments, resulted in approximately 80 Venezuelan and Cuban casualties and marked the first major US military intervention in Latin America in decades.

The market impact was complex: while the operation raised immediate geopolitical uncertainty, it also demonstrated US willingness to use force to protect hemispheric interests—potentially supporting dollar and Treasury demand through a "strong America" narrative. Venezuelan bonds surged 30%, reflecting expectations of post-Maduro economic normalization.

5.3 DOJ Subpoena on Fed Chair Powell

The January 11, 2026 revelation that the Department of Justice had served grand jury subpoenas on the Federal Reserve, threatening criminal indictment of Chairman Powell, represents an unprecedented attack on central bank independence. Powell characterized the action as "a consequence of the Federal Reserve setting interest rates based on our best assessment of what will serve the public, rather than following the preferences of the President."

This event highlights the fundamental tension between Trump's desire for lower rates and the Fed's mandate for price stability. The variance decomposition suggests such institutional attacks contribute to the elevated policy uncertainty premium in Treasury yields.

5.4 Iran Escalation: "Locked and Loaded"

The ongoing Iran crisis, with Trump threatening military action against the regime amid protests that have killed over 2,000 civilians, adds another layer of geopolitical uncertainty. The administration's announcement of 25% tariffs on countries doing business with Iran further complicates the global trade landscape and could affect Indonesia's economic relationships.

6. Implications for Indonesian Markets

Our analysis reveals several critical transmission channels from Trump policy shocks to Indonesian macroeconomic variables:

6.1 Exchange Rate Vulnerability

The Indonesian rupiah remains highly sensitive to Trump policy shocks through multiple channels:

- Direct tariff effects: The 32% reciprocal tariff rate on Indonesian exports (close to China's 34%) threatens export competitiveness
- Portfolio rebalancing: Risk-off sentiment triggers capital outflows from emerging markets
- Compressed yield spread: The Indonesia-US 10-year spread near record lows of 2% provides limited buffer

The April 2025 episode saw the rupiah hit 16,957/USD—a historic low surpassing even the 1998 Asian Financial Crisis. While Bank Indonesia has maintained robust foreign reserves (~$154.5 billion), protracted policy uncertainty could deplete this buffer.

6.2 Government Bond Market Dynamics

Indonesian government bond yields have shown resilience relative to other emerging markets, with the 10-year yield declining to 6.31% by October 2025—the lowest since August 2023. However, this stability is contingent on:

- Continued Bank Indonesia intervention (purchased ~$4.21 billion in SBN)
- Foreign investor appetite remaining intact (net purchases of Rp13 trillion in SBN as of April 2025)
- Fiscal discipline maintaining credit ratings

The variance decomposition indicates that Trump policy shocks account for nearly 25% of Indonesian bond yield variability, underscoring the importance of external monitoring.

6.3 Real Economy Transmission

The IRF analysis suggests Trump policy shocks reduce Indonesian GDP growth by 0.3-0.5 percentage points, consistent with external estimates. Key channels include:

- Export demand reduction from US market access constraints
- Investment uncertainty delaying capital expenditure decisions
- Imported inflation from rupiah depreciation
- Fiscal pressure from energy subsidy calculations tied to exchange rates

7. Market Recommendations

KEY MARKET INSIGHT

Markets must carefully monitor the US 10-year Treasury yield as a leading indicator. Every significant upward spike in yields has been followed by dramatic Trump policy interventions—whether tariff pauses, military actions, or institutional pressure campaigns. This pattern creates both risk and opportunity for strategic positioning.

7.1 Strategic Monitoring Framework

Based on our VAR/IRF analysis, we recommend the following monitoring framework:

- Yield Alert Level 1 (4.30-4.40%): Elevated policy intervention probability; monitor Trump administration communications for potential de-escalation signals
- Yield Alert Level 2 (4.40-4.50%): High probability of policy reversal; consider reducing EM exposure and increasing duration in anticipation of flight-to-safety
- Yield Alert Level 3 (>4.50%): Imminent policy action expected; historical precedent suggests dramatic intervention within 48-72 hours

7.2 Investment Implications

- Indonesian Government Bonds: Maintain tactical overweight given attractive real yields (>5%) and Bank Indonesia support, but implement stop-loss at IDN-US spread compression to 1.5%
- Rupiah Positioning: Hedge tail risks using NDF/DNDF instruments; target range 16,000-17,000/USD for 2026
- Equity Strategy: Favor domestic-oriented sectors (infrastructure, consumer staples) over export-dependent industries

7.3 Policy Watch List

Key events to monitor for potential Treasury yield catalysts:

- Supreme Court ruling on tariff legality (imminent)
- Iran military action decisions (options being finalized)
- Fed Chair Powell term expiration (May 2026) and replacement nomination
- Tariff 90-day pause expiration timeline

8. Conclusion

This analysis demonstrates that Trump policy shocks have become a dominant factor in US Treasury yield dynamics, with significant spillover effects to Indonesian macroeconomic variables. The variance decomposition reveals that nearly 40% of Treasury yield volatility can be attributed to Trump policy uncertainty—an unprecedented level of political influence on what has historically been the world's safest asset class.

The pattern is clear: when US 10-year Treasury yields spike to uncomfortable levels, the Trump administration has consistently responded with dramatic policy interventions. This creates a unique market dynamic where yield levels themselves become leading indicators of policy action. Market participants who fail to incorporate this "Trump put" into their analytical framework risk being caught off-guard by sudden policy reversals.

For Indonesian markets, the implications are substantial. The compressed Indonesia-US yield spread, combined with significant external variance contribution to exchange rates and bond yields, suggests heightened vulnerability to external shocks. While Bank Indonesia's intervention capacity and the country's fiscal discipline provide important buffers, proactive monitoring of US Treasury dynamics is essential for effective risk management.

As the geopolitical landscape continues to evolve—with ongoing Iran tensions, the aftermath of the Venezuela intervention, and threats to Federal Reserve independence—market participants must remain vigilant. The US 10-year Treasury yield is no longer just a benchmark rate; it has become a barometer of policy uncertainty and a potential trigger for dramatic market-moving interventions.